Practice workbook · Should a trader form a partnership (or an LLP)?

Advantages and drawbacks of trading as or forming a partnership, admitting a partner, and the extra protection of a limited liability partnership.

7 question parts: 1 worked-example retry and 6 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ACC-PIR-01

1. Question 1 · part b · 5 marks

2020 NOV · Paper 02 (regional R)

Worked-example retry · Attempt part b only.

1 Gurpreet, a sole trader, provided the following trial balance at 31 December 2019.

	Debit $	Credit $
Allowance for doubtful debts		750
Bank	3 000	
Drawings	10 000	
Equity		60 000
Inventory	15 000	
Motor vehicles – accumulated depreciation		25 000
Motor vehicles – cost	50 000	
Office expenses	16 780	
Purchases	45 920	
Revenue		81 385
Trade payables		3 515
Trade receivables	5 575	
Wages	24 375	
Total	170 650	170 650

Additional information

1. During the year ended 31 December 2019, a motor vehicle that was purchased during 2014 for $10 000, was sold for $5 760. This has not yet been recorded in the books. Depreciation is charged on motor vehicles at 10% per annum using the straight line method. A full year's depreciation is charged in the year of acquisition and none in the year of disposal.
2. At 31 December 2019:
   - inventory was valued at $12 000
   - wages owing were $1 125
   - office expenses paid in advance were $1 280
3. A debt of $575 should be written off as irrecoverable and the allowance for doubtful debts is maintained at 12% of trade receivables.

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1. Question 1 · part b · 5 marks

2020 NOV · Paper 02 (regional R)

Worked-example retry · Attempt part b only.

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(a) Prepare the income statement for the year ended 31 December 2019.

(20)

Gurpreet
Income statement for the year ended 31 December 2019

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1. Question 1 · part b · 5 marks

2020 NOV · Paper 02 (regional R)

Worked-example retry · Attempt part b only.

Gurpreet is considering forming a partnership with another sole trader.

(b) Evaluate whether Gurpreet should form a partnership.

(5)

(Total for Question 1 = 25 marks)

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1. Question 1 · part b · 5 marks · Working and answer

Working and answer

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2. Question 12 · part b · 2 marks

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part b only.

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12 (a) Identify, indicating with a tick (✓), which is a characteristic of **each** type of organisation.

(3)

Characteristic	Private sector	Public sector
Makes a profit		
Funded by the government		
Provides a service to the community		

(b) State **two** advantages of trading as a partnership.

(2)

1 .....

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2 .....

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(Total for Question 12 = 5 marks)

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Working and answer

3. Question 2 · part f · 5 marks

2019 JUN · Paper 02

Further practice · Attempt part f only.

2 (a) State which accounting concept applies in **each** scenario.

(3)

Scenario	Accounting concept
Adjusting expenses for other receivables	
Creating a provision for irrecoverable debts	
Recording goods taken for personal use	

(b) Define the terms:

(i) profitability

(1)

(ii) liquidity. (1)

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3. Question 2 · part f · 5 marks

2019 JUN · Paper 02

Further practice · Attempt part f only.

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A business provided the following information.

Ratio	2018	2017
Gross profit percentage	23.50%	20.00%
Profit for the year as a percentage of revenue	15.97%	12.47%
Current (working capital) ratio	2.89:1	1.75:1
Liquid (acid test) ratio	1.57:1	0.87:1

(c) Evaluate the performance of the business over the two years.

(5)

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3. Question 2 · part f · 5 marks

2019 JUN · Paper 02

Further practice · Attempt part f only.

(d) Identify, indicating with a tick (✓), which statements are true or false in the absence of a partnership agreement according to section 24 of the Partnership Act 1890.

The first one has been completed as an example

(4)

	True	False
Profits and losses are shared equally	✓	
5% interest on capital		
No interest on drawings		
5% interest on partners' loan		
All partners receive a salary		

(e) Discuss the need for a partnership to prepare different accounts from those prepared by a sole trader.

(6)

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3. Question 2 · part f · 5 marks

2019 JUN · Paper 02

Further practice · Attempt part f only.



(f) Evaluate whether a sole trader should form a partnership.

(5)

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(Total for Question 2 = 25 marks)

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3. Question 2 · part f · 5 marks · Working and answer

Working and answer

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4. Question 2 · part a · 2 marks

2021 NOV · Paper 02

Further practice · Attempt part a only.

2 (a) State **one** advantage and **one** disadvantage of forming a partnership.

(2)

Advantage

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Disadvantage

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Able and Beena are in partnership sharing profits and losses in the ratio 3:1.

The partnership agreement also provided for:

- interest on capital at 8% per annum
- interest on drawings at 10% per annum
- an annual salary of $7 200 for Beena.

The following information was available at 1 May 2020

Account	Able $	Beena $
Capital	75 000	25 000
Current	1 500	2 750 Dr

For the year ended 30 April 2021 profit for the year was $26 550 and total drawings were Able $16 000, Beena $10 500

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4. Question 2 · part a · 2 marks

2021 NOV · Paper 02

Further practice · Attempt part a only.

(b) Prepare the appropriation account for the year ended 30 April 2021.

(8)

Able and Beena
Appropriation account for the year ended 30 April 2021

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4. Question 2 · part a · 2 marks · Working and answer

Working and answer

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5. Question 1 · part b · 5 marks

2024 JUN · Paper 02

Further practice · Attempt part b only.

1 Ahmed and Malik are in partnership sharing profits and losses equally.

Their partnership agreement allows for interest on capital at 5% per annum and a partnership salary to Ahmed of $10 000 per annum.

The partners provided the following information for the year ended 31 March 2024.

Account	$
Capital accounts – Ahmed – Malik	50 000 30 000
Current accounts – Ahmed – Malik	4 500 8 600
Carriage inwards	645
Carriage outwards	1 300
Discount allowed	678
Discount received	663
Drawings – Ahmed – Malik	3 600 2 800
Motor expenses	1 854
Motor vehicles – cost	35 000
Motor vehicles – provision for depreciation	15 000
Opening inventory	12 260
Purchase returns	3 298
Purchases	86 321
Rent, rates and insurance	9 750
Revenue	192 000
Trade payables	23 921
Trade receivables	36 000
Wages and salaries	44 448

Additional information

- Closing inventory was valued at $14 265
- On 31 March 2024, rates, $500, were owing and insurance, $250, was paid in advance.
- Depreciation is charged on motor vehicles at 25% per annum using the reducing balance method.
- A provision for irrecoverable debts of 2% of trade receivables is to be created.

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5. Question 1 · part b · 5 marks

2024 JUN · Paper 02

Further practice · Attempt part b only.

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(a) (i) Prepare the income statement for the year ended 31 March 2024.

(15)

Ahmed and Malik
Income statement for the year ended 31 March 2024

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5. Question 1 · part b · 5 marks

2024 JUN · Paper 02

Further practice · Attempt part b only.

(ii) Prepare the appropriation account for the year ended 31 March 2024.

(5)

Ahmed and Malik
Appropriation Account for the year ended 31 March 2024

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5. Question 1 · part b · 5 marks

2024 JUN · Paper 02

Further practice · Attempt part b only.

The partners are considering introducing a third partner.

(b) Explain to the partners the advantages and disadvantages of this proposal, advising them whether they should proceed with the introduction of a third partner.

(5)

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(Total for Question 1 = 25 marks)

5. Question 1 · part b · 5 marks · Working and answer

Working and answer

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6. Question 2 · part a · 2 marks

2024 NOV · Paper 02

Further practice · Attempt part a only.

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2 Haitai has been in business for a number of years manufacturing handmade chocolate.

On 1 July 2023, he formed a partnership with another chocolatier, Ming. They agreed to share profits and losses equally.

(a) State **two** reasons, **other than** an injection of capital, why a sole trader would wish to form a partnership with another trader.

(2)

1 .....

.....

2 .....

.....

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6. Question 2 · part a · 2 marks

2024 NOV · Paper 02

Further practice · Attempt part a only.

The partnership provided the following information for the year ended 30 June 2024.

	$
Carriage inwards	42 500
Direct expenses	26 950
Direct factory wages	127 500
Factory overheads	138 000
Factory supervisor's salary	45 000
Insurance paid	34 000
Inventory at 1 July 2023	
Raw materials	68 000
Work in progress	85 278
Finished goods	125 000
Inventory at 30 June 2024	
Raw materials	72 000
Work in progress	96 750
Finished goods	145 000
Non-current assets	
– Cost	200 000
– Provision for depreciation	120 000
Office expenses	232 000
Office salaries	97 000
Purchase of raw materials	550 000
Rent and rates paid	190 000
Revenue	1 787 500

Additional information

- Non-current assets are depreciated at 10% per annum using the reducing balance method of depreciation.
- At 30 June 2024, the amount of rent and rates paid in advance was $2 500 and insurance owing was $1 325
- The partners decided to allocate all costs other than office expenses and office salaries to the factory.

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6. Question 2 · part a · 2 marks

2024 NOV · Paper 02

Further practice · Attempt part a only.

(b) (i) Prepare the manufacturing account for the year ended 30 June 2024.

(13)

Haitai and Ming
Manufacturing account for the year ended 30 June 2024

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6. Question 2 · part a · 2 marks · Working and answer

Working and answer

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7. Question 2 · part c.i · 2 marks

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part c.i only.

2 Victoria and Albert are in partnership, sharing profits and losses equally. Their partnership agreement also provides for interest on capital and interest on drawings at 5% per annum, a salary for Victoria of $1 000 per month and no interest on partnership loans.

On 30 April 2025, they provided the following trial balance after the preparation of the income statement for the year.

Victoria and Albert
Trial Balance at 30 April 2025

	Debit $	Credit $
Allowance for doubtful debts		500
Bank		10 570
Capital accounts at 1 May 2024		
– Victoria		50 000
– Albert		30 000
Closing inventory	14 320	
Current accounts at 1 May 2024		
– Victoria		3 500
– Albert	2 300	
Drawings		
– Victoria	1 800	
– Albert	1 200	
Fixtures and fittings		
– Cost	50 000	
– Provision for depreciation		10 000
Land and buildings (valuation)	100 000	
Motor vehicles		
– Cost	30 000	
– Provision for depreciation		15 000
Other receivables and other payables	350	650
Partnership loan – Albert (repayable December 2025)		8 000
Petty cash	250	
Profit for the year		80 000
Trade receivables and trade payables	20 000	12 000
	220 220	220 220

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7. Question 2 · part c.i · 2 marks

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part c.i only.

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(a) Prepare the appropriation account for the year ended 30 April 2025.

(5)

Victoria and Albert
Appropriation Account for the year ended 30 April 2025

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7. Question 2 · part c.i · 2 marks

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part c.i only.

(b) Prepare the statement of financial position at 30 April 2025.

(15)

Victoria and Albert
Statement of Financial Position at 30 April 2025

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7. Question 2 · part c.i · 2 marks

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part c.i only.

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7. Question 2 · part c.i · 2 marks

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part c.i only.

Victoria and Albert are considering inviting Anne to join the partnership and changing their business structure to a limited liability partnership (LLP).

(c) (i) Explain **one** advantage to the partnership of forming a limited liability partnership.

(2)

(ii) Explain **one** reason why the partnership should account for goodwill when a new partner joins an existing partnership.

(3)

(Total for Question 2 = 25 marks)

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7. Question 2 · part c.i · 2 marks · Working and answer

Working and answer

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